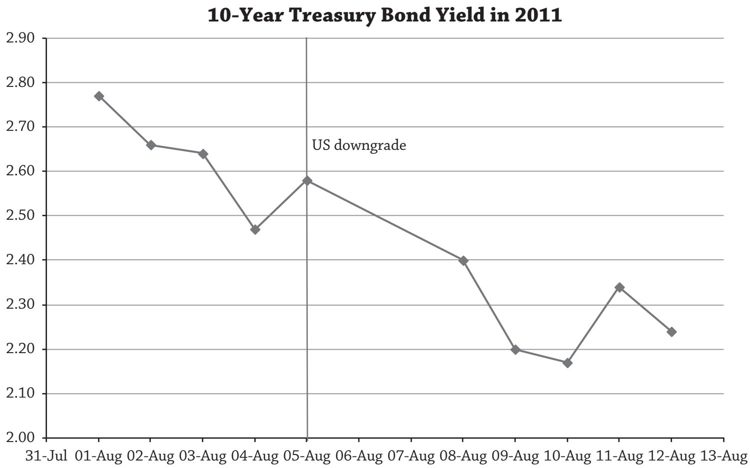

Figure 9.1

a result of investor demands for a greater risk premium to compensate for the higher likelihood of default. If higher credit risk could not explain the movements of U.S. Treasuries at the time of the downgrade, what could?

In this chapter we examine the risk and return trade-offs of fixed income securities. We first assume that Treasuries are risk free and discuss the factors driving risk-free bond returns. We then consider corporate bonds, which add the dimension of credit risk, and other types of risks.

2. Monetary Policy and the Level Factor

Understanding the factors affecting bonds requires understanding the most important player in bond markets—the Federal Reserve, America's central bank, known as the Fed.

2.1. THE FEDERAL RESERVE

Monetary policy is one of the primary drivers behind interest rates because of the way monetary policy responds to macro factors. Monetary policy is officially set by the Federal Open Market Committee (FOMC), a Fed panel with membership comprising the Fed Chair, the seven members of the Federal Reserve Board, and five of the twelve regional Federal Reserve Bank presidents (the president of the Federal Reserve Bank of New York always sits on the committee, a "first among equals").[2] The current Fed Chair, Janet Yellen, was appointed on February 1,

[2] The convoluted setup of the Fed was the result of a series of compromises between politicians in the rural and west versus the east and between politicians and businesses, as described at length